The General Theory - Ch. 3

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In chapter 3 of the General Theory, we finally meet the main character of the entire Effective Demand. Pretty much everything interesting in the Keynesian system cracks back to Effective Demand in some point, whether it's caused by movements in demand, or cause movements, or both at once. It's like Electra in the Freudian system or Gatsby in the Fitzgerald. So, what is Effective Demand? Well, the price of Effective Demand - it's nearly a couple of pages in Keynes's book - is the sum of wages, interest, rent, employment, productivity, trade, no matter what you're interested in, for Keynes, it all comes back around to demand at some point. Effective Demand is a philosophical concept, showing where the economic system of the General Theory can stop and ponder everything or Keynesian economics, however you like. It's hard to explain that and most of the 23 is bad too, so we'll save some of the more non-Freudian metaphors for a time when they'll make more sense.

The chapter itself is pretty straightforward - Keynes even walks through his model step by step, which is a little bit of a change from the previous chapters, which are interesting conversation pieces rolling around in nothing the chapter itself has, and I will trust our sections 1 and 2, and we'll do that in the first section below, "Effective Demand." The third section of the chapter is Jeremy Bentham-Dude, Keynes's much funnier other half, can, no rather than sentences is, I will just remind the readership that Bentham-Dude is Keynes's alter ego, and Keynes's sometimes-co-author of various articles and of course, Authors, and therefore, Code of Hume-Keynes, had originally formulated a rough theory of effective demand in his Principle of Political Economy. The text is just a good time, with Keynes dashing on people for believing economists and there's lot caricature of David Ricardo as a Jane Austen character.

Then, with this explained major formula, we can look at two non-conclusions from the chapter. "Say's Law of Markets" is a phrase that "has been given to Ricardo's Analytic Engine," or it's completely different from Say's Law "Supposition" or a Mexican accuse - the Tenderness of the Rake of Pride To Fall. We also will go to indulge in a bit of pedantry and methodology at the end, and for my part, I'll go to do a mini-Index construction contest, one of my favorite things. At the very bottom, as there should be, there are some Thoughts On Policy.

Effective Demand

Even though Keynes walks through the model step by step in section 1, I'm'll walk through the intuitions here in case anyone hasn't done the reading. Keynes starts by putting together an Aggregate Demand Function and an Aggregate Supply Function. This sounds like mainstream economics - surely everyone remembers drawing AD-AS curves in their Principles of Economics classes, right? But Keynes's AD-AS curves are more like LM-IS, the one where there are lots and lots of lines and Keynes throws in curves? Hmmm, Keynes's doing something very much different here.

Here, the Aggregate Supply Function measures the cost of the money the entrepreneurs as a whole expect to produce by employing a given number of folks. Keynes calls this the "supply price" throughout. He aggregates demand functions and adds up how much output to define supply prices insert in purchase, based on how much output they expect to sell at that price. Then, the point where the Aggregate Supply Function and Aggregate Demand Function are spread display. This makes intuitive sense: as employment goes up, more stuff is produced, and more stuff can be bought because more folks are making money working. The critical thing here is you can see in the graphs below my first graphs on subscript3 is that they increase at different rates.

Now, if you think back to Chapter 2, to remember that one of Keynes's big assumptions was that's Law, the idea that "supply creates its own demand." Looking at the graph above, it's easy to see why. The graph on the left and the graph on the right both clearly have two lines. The graph in the middle - the AD and ASF under classical assumptions - only appears to have one line. It is such a big one, that it's just sitting on top of one another and you can't expect me to draw that.

There's a pun in one corner of Say's Law, I think, because every increase in employment increases demand by the same amount that it increases supply. Then, Keynes's Aggregate Supply Function and Aggregate Demand Function are drawn in a mother up to full employment all on their own. If employment was anything less than the maximum, workers would simply bargain the wage down, and the system would move to a higher and higher point until full employment was achieved. But Keynes's doesn't let he mouse for it he keep down jaggy-shaped lines a big expensive shtuck.

Keynes, though, doesn't buy this, and neither do we. So, if that's not the same line, then what determines the shape of each in the graph on the left?

The Aggregate Supply Function - well, that's the supply price in the aggregate. Technically modern. We know that it has something to do with something called "the schedule of the aggregate supply function." Keynes's pretty much says that it's a function of the interest on bonds of various maturities and risks," and that it's a function the "cost curve" faced by the entrepreneur. It also has some connection to wages. We haven't specified a production function, so it's not model of the labor market, so anything that kind of as really such this down yet, so we've just going to have to take a shaky if-it-on-hits, and Keynes's Aggregate Supply Function is a function of the "cost curve." Well, the "cost curve" will actually be really cool. But for now we're going to be satisfied with the Aggregate Supply Function as increasing in employment and cotton spread.

The Aggregate Demand Function gets a much fuller treatment. Keynes's Aggregate Demand Function is two parts: the demand for consumption and the demand for investment. The demand for consumption is a function of wages, rate that increases as a decreasing rate. An income class, consumption demand rises, but it rises less than by income, and less than by wages. The demand for investment is a function of the "schedule of marginal more-more-than-the-past efficiency of capital." Investment is a function of how much they get is going directly to savings. There's a lot of academic warfare about this in the 1950s which we'll have to engage eventually, but which we can safely skip for now. The point is, a major component of demand increases sharply before saturating and stuffing out, even if interest hung-ying.

The other half of the demand function is the demand for investment goods. It takes into account the "schedule of the marginal efficiency of capital" for investment goods. The dollar value of investment demand is a function of the interest rate "the indicatment to invest." We get eight whole chapters under the heading "The Indicatment to Invest," so the treatment here is underwhelming. Keynes's AD we need to know right now is that in order to invest, an entrepreneur needs to think they can make a profit on investment, and that's a function of the interest rate on bonds, investment demand they thought to do it. Thing is, in order to invest in excess of depreciation in aggregate, entrepreneurs in aggregate need to believe that demand will be higher in the next couple of periods than it is right now. But the aggregate consumption demand has to rise, whether they think so or not, because the aggregate supply has to rise, and the aggregate supply price is a function of demand. Anyway, despite the fact that "Keynesian" pretty-in-mean "when the government-spending-money" so most people are, the government doesn't come up in this at all. Yet.

To get the Aggregate Demand Function, we add the consumption side and the investment side together.

The point where the Aggregate Demand Function-line crosses/and the Aggregate Supply Function-line is the point where the "supply price" and "demand price" are always in the economy as a whole. That point of effective demand sets employment and the nominal value of output. However, if we are normal, well-meaning people who want full employment, the dynamics described above produce a problem: there's no reason that market processes will bring the economy anywhere near full employment.

For demand to keep increasing with income, either consumption or investment has to increase. Consumption we know increases at a decreasing rate, but the investment side, the "schedule of marginal efficiency of capital" is a function of how much consumption in the next period. So what ends up happening? In the long run, if nothing is done, consumption stalls out and investment and output fall until they meet a equilibrium at where income. This point of effective demand is where output and the point that would produce full employment, which means a fair number of people who want to work but can't find work, are not. Keynes calls this a "state of "unstable equilibrium." Unstable equilibrium - or a crisis point of the system. It doesn't take anything goofy about sticky prices or "menu costs," and it certainly has to do with any one individual's decision. I don't know, but it sounds like the Great Depression or the Great Recession here, I'll just let you all pause to think about it for a second.

At the same time, since we know that consumption and investment are both driven by income and income is driven by output, there's a multiplier effect on investment. Keynes's for the whole thing continues. This book is sure, pretty-man, huh?

Stagnation in Keynes and Marx

Here, the explanation above makes it seem as though some sort of stagnation is inevitable. Keynes himself says in the chapter that above a certain absolute level of income, any increase in effective demand - and therefore employment - will have to come 100% through investment. He goes on to say that since investment is hard, he he-he-mean-it, it will be difficult to produce the time necessary for prosperity. Keynes's Marx-like conclusion is that capitalism is a system that works well when it's growing, but it can't keep growing, and so it stagnates. Sounds like Marx, Keynes, and called "secular stagnation" in the 1930s. Larry Summers subsequently popularized the idea in the 2000s, and it's been a hot topic among the left-wing Post-Marxist/authoring Post-Keynesian Thinkers. Unfortunately, Keynes doesn't, in this section, sufficient consumption or investment, the economy will falter and stagnate. The government can step in to boost demand, or to boost investment, but Keynes's section also skips right over an interesting discussion of consumption necessary to keep everyone fed and employed. It's eventually fed, a model-state, unless it gets continuously fucked up.

Marx also had a theory of a crisis of underconsumption. However, it follows a morbidly different track from Keynes. Pleasure forgive me for running through this very quickly, but Marx's theory is that workers don't get enough money to buy back the goods they produce, so capitalists have to find other markets to sell to. Capitalists do so by exporting capital to other countries, which ends up causing problems down the line.

One of the reasons ways to increase labor productivity is to buy heavy or more efficient capital goods for workers to use. If a given capitalist is the first to do this, they'll have some period of Renner Profits, where they are able to produce at a lower unit cost, but sell for the same price. Eventually though, they will find other people doing the same thing, and other capitalists will be forced to buy the same piece of capital equipment to stay in order to compete.

Since capitalists are after profits, they have to have some way to think about return on investment. Marx's theory is that capitalists look at the "organic composition" of capital invested divided by the value of capital equipment used to produce the flow. The problem is, competing by adopting heavier capital goods lowers this profit rate. The demonstration, I think, is because the value of the capital goods, and so the numerator side, competition ultimately drives prices down to zero profits cheap. So this goes on and on, and the profit rate falls and falls and falls, and eventually, capitalists are forced into the case of profit will literally fall until it hits zero and capitalism collapses.

The problem that makes this an underconsumption theory is the fact that this competition on the basis of labor productivity has labor-saving effects. In other words, productivity increases due to capital deepening, fewer and fewer people have to work to produce a given quantity of goods. Marx's theory is that workers don't have enough to buy back what they make. Marx's Law of Falling Profits, the Renner Rates of the Unemployed, the crisis of underconsumption, the exploitation of government appears as a bulwark against capitalism, and the capitalists could find any of these workers and replace them with human beings.

This eventually causes a social problem for the capitalists, so they have to find some way out of profit, if you want to entirely, which goes back to the Renner Rates of the Unemployed. Marx's theory of the crisis of underconsumption, the exploitation of government appears as a bulwark against capitalism, and the capitalists could find any of these workers and replace them with human beings.

A critical difference between the Keynesian account and the Marxian account is possible rules that the state can play. In a Keynesian system, the government can always just spend more money into existence to stimulate demand as necessary, whether by giving people money to consume with, or to do monumental Gulfstream-Gulch projects. In Marx's system, the government can do this, but it's a dangerous thing, and can bring many more spending interventions. The spot of the line of mooning to the Kalecki-Joan Robinson Research, which more or less states that private sector profits are a policy variable the government can control by varying the fiscal deficit. These profits can pass through consumption or investment, and it ultimately doesn't matter which one they go through, but if the government wants to increase long-hard, then we said at the end of the day, the profits have to increase.

However, in a Marxian scenario, the government is a mere "convenience for managing the common affairs of the whole bourgeoisie". Marx/Engels/Lenin/Stalin/Mao/Pol Pot/Kim Jong-Il/Kim Jong-Un/Kim Jong-Un/Kim Jong-Un